



“NPS has a complex investment structure. While the underlying complexity is essential to enable the scheme to offer multiple investment choices, it can also confuse some investors, leading them to stay away”

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“Compared with other financial products like mutual funds or ULIPs, a distributor makes around 200 basis points (bps). In NPS, the pension fund makes only 9 bps”

SUMIT SHUKLA
MD AND CEO, AXIS PENSION FUND



“There is a lack of administrative compliance checks by [the central government]. While the government mandates certain employers to contribute to the NPS, regulatory enforcement may be limited”

MANEET PAL SINGH
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one that is not as tax-efficient on maturity as the former.

“The EPF has more tax benefits because it largely operates on an Exempt-Exempt-Exempt model (except for highly paid employees). In NPS, subscribers can claim tax deductions depending on the type of account; after that, only the withdrawn lump sum corpus has tax exemptions, while the income earned from the annuity is fully taxable,” says Kumar of INDUSLAW.

Under Section 80C of the Income Tax Act, NPS contributions are eligible for annual tax benefits up to ₹1.5 lakh. An additional deduction up to ₹50,000 under Section 80CCD (1B) is also allowed. Nonetheless, investors are discouraged by the taxation applicable upon withdrawal.

Besides, for employers, the NPS represents an additional financial burden that involves a fixed outlay of cash. “While employers have an obligation to contribute a certain percentage of the employee’s salary to the NPS, some companies may hesitate to do so due to financial constraints or a focus on short-term profitability rather than long-term employee welfare,” says Singh.

EPF subscribers can port to the NPS only once. However, transferring funds from EPF to NPS is a complex process. Also, once subscribers shift from EPF to NPS, they forego benefits from the Employees Deposit Linked Insurance and Employees’ Pension Scheme as they are deemed to have exited from these schemes.

RETURN OF THE OPS

The NPS has also suffered recently amid demands from government employees that the OPS be brought back. Under the OPS, an individual could expect a defined monthly pension upon retirement, whereas under the NPS the final payout depends on the portfolio’s performance. While the NPS can provide higher returns due to its equity exposure, it doesn’t guarantee this. Moreover, market volatility brings an element of uncertainty that many are uncomfortable with. Meanwhile, the OPS provided a guaranteed, albeit lower, return. The pressure has been such that many states have reverted to the OPS for government employees.

These factors have ensured that the NPS has remained a shadow of what it was intended to be. Consider this: Less than 10 per cent of private sector employees have opted for the NPS. And yet, despite these drawbacks, the NPS remains a good tool for retirement savings because it calls for a greater balance between financial flexibility and long-term growth. It’s now up to the government and financial institutions to simplify the scheme and make it more appealing, primarily by enhancing its liquidity without compromising its potential for wealth creation. **BT**

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